CANADA BREAD COMPANY, LIMITED



INTERIM REPORT TO SHAREHOLDERS

For the Third Quarter Ended
September 30, 2000

CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

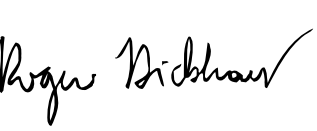
The third quarter represents the fifth consecutive quarter of earnings increases following improvements to the Company's operations, implemented during 1999.

Sales for the quarter were $144.0 million, compared to $148.3 million last year. Changes in the Company's customer base and discontinuation of unprofitable business resulted in lower sales, but improvements in operating margins more than offset the impact of the sales decrease. Sales for the year to date of $413.9 million compare to $431.9 million last year.

Earnings from operations of $7.2 million increased 10.5% from $6.5 million last year, reflecting the impact of cost reductions, product mix and other margin improvement initiatives. For the year to date, earnings from operations of $18.1 million compares to $13.8 million last year.

Net earnings of $4.4 million ($0.21 per share) compared to net earnings last year of $4.1 million ($0.19 per share), an improvement in earnings per share of 10.5%. For the year to date, net earnings of $9.8 million ($0.46 per share) compares to $8.2 million ($0.38 per share) last year, an improvement in earnings per share of 21.1%.

For the Board of Directors,



Roger Dickhout
President and Chief Executive Officer



Richard A. Lan
Chairman

CANADA BREAD COMPANY, LIMITED

CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars, except per share amounts (Unaudited)	Quarter Ended September 30, 2000	Quarter Ended September 30, 1999	Nine Months Ended September 30, 2000	Nine Months Ended September 30, 1999
Sales	**$143,967**	$148,349	**$413,947**	$431,959
Earnings from operations	**7,202**	6,520	**18,114**	13,756
Other income	**756**	735	**656**	1,313
Earnings before interest and taxes	**7,958**	7,255	**18,770**	15,069
Interest expense	**631**	590	**1,874**	1,768
Earnings before income taxes	**7,327**	6,665	**16,896**	13,301
Income taxes	**2,916**	2,592	**7,128**	5,073
Net earnings for the period	**$ 4,411**	$ 4,073	**$ 9,768**	$ 8,228
Earnings per share	**$ 0.21**	$ 0.19	**$ 0.46**	$ 0.38
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.18**	$ 0.18
Weighted average number of shares (millions)	**21.4**	21.4	**21.4**	21.4

CONSOLIDATED STATEMENTS OF CASH FLOW

In thousands of Canadian dollars (Unaudited)	Nine Months Ended September 30, 2000	Nine Months Ended September 30, 1999
CASH PROVIDED BY (USED IN):		
OPERATING ACTIVITIES		
Net earnings for the period	**$ 9,768**	$ 8,228
Add (deduct) items not affecting cash:		
Depreciation	**12,852**	12,698
Amortization	**2,243**	2,314
Future income taxes	**3,408**	—
Deferred income taxes	**—**	(473)
Undistributed earnings of associated companies	**367**	(160)
Changes in non-cash operating working capital	**(19,567)**	1,707
	9,071	24,314
FINANCING ACTIVITIES		
Dividends paid	**(3,855)**	(3,855)
Increase (decrease) in long-term debt, net	**419**	(4,544)
	(3,436)	(8,399)
INVESTING ACTIVITIES		
Additions to property and equipment	**(6,323)**	(13,008)
	(6,323)	(13,008)
Net increase (decrease) in cash for the period	**(688)**	2,907
Bank indebtedness, beginning of period	**(1,436)**	(2,121)
Cash (Bank indebtedness), end of period	**$ (2,124)**	$ 786

CONSOLIDATED BALANCED SHEETS

In thousands of Canadian dollars (Unaudited)	As at September 30, 2000	1999 Restated
ASSETS		
Current assets:		
Cash	**$ —**	$ 786
Accounts receivable	**29,632**	29,410
Due from related company	**5,776**	6,196
Inventories	**15,900**	16,932
Future tax asset	**1,158**	—
Income and other taxes receivable	**738**	—
Prepaid expenses	**1,829**	3,186
	55,033	56,510
Investment in associated company	**45,771**	45,928
Property and equipment	158,962	161,128
Goodwill	**74,964**	78,251
	$334,730	$341,817
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Bank indebtedness	**$ 2,124**	$ —
Accounts payable and accrued charges	**51,586**	57,433
Dividends payable	**1,285**	1,285
Income and other taxes payable	**—**	3,030
Current portion of long-term debt	**103**	154
	55,098	61,902
Long-term debt	**15,194**	22,253
Future tax liability	**36,358**	—
Deferred income taxes	—	23,291
Shareholders' equity	**228,080**	234,371
	$334,730	$341,817

NOTES TO INTERIM FINANCIAL REPORTING

New accounting guidelines issued in Canada require the liability approach to be adopted to account for income taxes. The Company has adopted the new income tax accounting standard retroactively, effective January 1, 2000, without restating the financial statements of any prior periods as permitted under the standard. Application of the recommendation would not have materially affected net earnings or net earnings per share as previously reported for 1999. In total, the adoption of the standard results in a cumulative reduction to retained earnings at January 1, 2000 of $7,819,000.

The Company has adopted the new accounting guidelines for pension benefits prospectively from January 1, 2000. This application of the recommendation does not materially affect net earnings or net earnings per share as at and for the nine months ended September 30, 2000.

In 1999, the Company elected to retroactively change the method used to account for post-retirement benefits other than pensions, and accordingly restated opening shareholders' equity. The impact of these changes is described in Note 14 to the Company's 1999 Annual Financial Statements.


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